

HEDGEYE DAILY DIGEST

Tuesday, September 15, 2026 (GMT+8)

Keith McCullough opened Macro Monday with an argument that has hardened into positioning: the problem is not artificial intelligence, it is the **financing** of artificial intelligence. With **oil up +9.4% last week**, the **UST 2yr and 10yr yields both at new Inflation Cycle Highs**, and the **yield curve flattening another -7bps**, the cost of capital is rising into the most levered equity complex in market history. **SPY signalled Bearish TRADE on Friday and QQQ followed Monday**, prompting McCullough to sell every long but one in Real-Time Alerts. The **KOSPI's #Quad4 crash resumed with a -3.3% drop**, now **-27% from its June 2026 AI high**. This is a defensive tape, and Hedgeye is positioned accordingly — long inflation, short the crowd.

Covering Hedgeye publications from Monday, September 14 and Friday, September 11 (EDT), grouped for a GMT+8 reader. Hedgeye does not publish on weekends, so Friday's slate serves as the prior publishing day.

TODAY'S PUBLICATIONS

EARLY LOOK — #MOAB IN AI VS. THE CYCLE

Keith McCullough | Early Look | Sep 14, 07:31 EDT (Sep 14, 19:31 GMT+8)

McCullough anchors the note in **Claude Shannon**, who in **1948**, at age **32**, compressed ten years of work into **77 pages of information theory** and built the foundation of the Information Age. The point is deliberately deflationary to the current narrative: AI is not new. What is new is the scale of today's valuations and the **debt-fuelled financing** behind them. McCullough's framing is that the **#MOAB — Mother of All Bubbles — is a market risk, not a technological one**. "The idea was never the bubble. The bubble is always the financing of the idea."

The tactical core of the note is the deterioration in equity signals. **QQQ was already signalling Bearish TRADE**, as **SPY had on Friday** — the trigger for McCullough selling down to a single long in Real-Time Alerts. The open question is whether **QQQ breaks TREND support the way the Russell 2000 (IWM) already has**. He published the **QQQ "Alpha Code" as 720705 — TRADE at 720, TREND at 705** — with **#NazVol (VXN) breakout signal level at 22.14**.

On the FX side, the **US Dollar Index fell -0.1% on the week and -0.7% over the month**, remaining **Bearish TREND**. **EUR/USD is breaking bad to Bearish TRADE and Neutral TREND**. The **Japanese Yen gained +1.7%** and stays **Bullish TRADE and TREND**. The **Canadian Dollar (-0.2%) remains Bullish TREND**, and **Colombia's Peso rose another +1.3%**, taking its trailing three-month return to **+13.3%** — relevant because Hedgeye is long **Colombian equities (COLO)**, described as "a home run." Conversely, **India's Rupee fell -1.1%** and is **Bearish TRADE and TREND**; Hedgeye is **back to short India via INDA**, partly because India is short oil.

Commodities did the heavy lifting. The **CRB Commodities Index inflated +1.6% on the week (+14.4% over three months)**. **WTI crude rose +9.4% (+20.7% over three months)**. **Copper corrected -2.0%** and is breaking toward **Neutral TREND**. **Corn fell -1.2%** but remains **Bullish TREND**, up **+28.8% in three months**. Hedgeye stays **long Oil Services (OIH)**.

The bond market confirmed the inflation call. The **UST 2yr yield shot +26bps to new Inflation Cycle Highs**; the **UST 10yr ramped +19bps**, also to new Cycle Highs. The **yield curve flattened another -7bps week-over-week**, putting the prior steepener trade (via IVOL) at **new Cycle Lows**. Hedgeye **exited Silver (SLV) on signal — down -2.3% on the week — and reduced Gold to minimum position size**; Gold fell

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-1.8% last week but remains **+3.2% over three months**. The thesis: gold dislikes the *pace* of inflation's acceleration, because that pace sets bond yields and the cost of capital in a levered AI debt world.

Investment implication: Stay long the inflation complex (oil, energy, oil services, select international) and defensive on the high-multiple, heavily financed AI and growth complex. The signal, not the story, governs sizing.

Risk Range™ Signals — September 14, 2026

Asset	Risk Range	TREND
10-Year U.S. Treasury Yield (UST10Y)	4.75 - 5.01	Bullish
High Yield (HYG)	78.30 - 79.16	Bearish
Investment Grade Corp Bond ETF (LQD)	104.0 - 105.6	Bearish
S&P 500 (SPX)	7569 - 7747	Bullish
NASDAQ Composite (COMPQ)	25710 - 26512	Neutral
Russell 2000 (RUT)	2868 - 2960	Bearish
Health Care Select Sector SPDR (XLV)	162 - 175	Bullish
iShares Expanded Tech-Software (IGV)	98 - 110	Bullish
VanEck Oil Services ETF (OIH)	415 - 438	Bullish
Volatility Index (VIX)	14.43 - 18.76	Neutral
U.S. Dollar Index (USD)	98.50 - 99.78	Bearish
Light Crude Oil (WTIC)	90.44 - 105.74	Bullish
Natural Gas (NATGAS)	2.75 - 3.01	Neutral
Gold Spot (GOLD)	4247 - 4473	Neutral
Copper Spot (COPPER)	6.24 - 6.80	Neutral
Silver Spot (SILVER)	60 - 65	Bearish

THE MACRO SHOW — TOP 3 THINGS, SEPTEMBER 14

The Macro Show | Sep 14, 08:35 EDT (Sep 14, 20:35 GMT+8)

Three calls framed the session. On **KOSPI**, Hedgeye pointedly did not chase South Korean semis, and the **#Quad4 crash resumed with a -3.3% drop**, extending the decline to **-27% from the June 2026 #MOAB AI high**. The **immediate-term TRADE signal for KOSPI is 6,971**.

On **Oil**, McCullough argues both the oil and bond-yield signals are "much bigger than Bessy thought he was." **Oil inflated another +3.3%** that morning, which mechanically lifts Hedgeye's Street High CPI Nowcast — meaning, in his phrase, **"The House is already HIKING for the Fed."** The yield curve is "getting pancaked."

On **QQQ**, the position is simply not being long what the crowd is long. **QQQ was already Bearish TRADE; SPY signalled Bearish TRADE Friday**, prompting the sell-down in Real-Time Alerts. **Alpha Code 720705** with **VXN breakout at 22.14**.

THE MACRO SHOW — SUMMARY NOTES, MONDAY SEPTEMBER 14

Keith McCullough & Daryl Jones | *The Macro Show* | Sep 14, 11:02 EDT (Sep 14, 23:02 GMT+8)

The fullest articulation of the day's positioning. **Bullish:** Oil/WTI, Software (IGV), Bitcoin, Colombia equities (COLO), Colombian Peso, Canadian Dollar, Energy, Real Estate (XLRE), Technology (XLK), Consumer Discretionary (XLY), Financials (XLF). **Bearish:** KOSPI, Computer Memory (DRAM), Semiconductors, QQQ, SPY (sold down), IWM, Utilities (XLU), India, China, Japan, Gold (reduced to minimum), Silver (sold), Copper Miners (sold), Euro (sold), Micron (MU), and cyclical consumer shorts including **Shake Shack (SHAK)**, **Dine Brands (DIN)** and **Tootsie Roll (TR)**.

On **oil and rates**, McCullough said the risk range now points toward **\$105-\$106 WTI**, with higher highs and higher lows pushing inflation expectations up. He argued **Bessent has lost control of the bond market** — the short end is rising faster, the curve is flattening, and the economy is past cycle peak.

On **risk management**, Friday's Real-Time Alert coaching note flagged that it was "not the spot to buy stocks" after the **S&P failed immediate-term TRADE around 7,670**. He raised his **biggest cash position** by selling whatever broke signal: **silver sold** after breaking TRADE and TREND, **copper miners sold**, and **gold cut to minimum** after failing to go bullish above the **4,380 TRADE level**.

On **volatility and gamma**, Tier1 Alpha data was central: the **SPX flip line is 7,656** — a close below turns gamma negative and can sharpen the selloff. He warned that complacent short-dated vol plus potential **CTA selling** is a growing risk, particularly for anyone chasing semis.

On the **Fed**, McCullough's view is that the Fed should have hiked earlier so it could cut later; instead the catalyst for future cuts may be that the **Fed hikes now and inverts the curve further**. The **top of the UST 10yr risk range is 5.01%**, which would take yields through the **2023 highs**, with **5.29%** the next reference level.

On **signal strength**, the deterioration is stark: **longs down to 52, shorts up to 73** — the long list had been over **90** at one point, so it has nearly halved. New shorts are increasingly **cyclical consumer and industrial**. Asked for the best semiconductor short, the desk answered **Micron (MU)**, tied to memory being fundamentally bearish.

Bitcoin vs. Silver was framed as a clean signal divergence: Bitcoin held its signal on Friday and was added to; silver broke TRADE and TREND and was sold.

MOMO TRACKER — MAG7 (+1%), NVDA=NEUTRAL

Christian Drake & Ryan Ricci | *Momentum Stock Tracker* | Sep 14, 07:49 EDT (Sep 14, 19:49 GMT+8)

The tracker is a chart-and-data dashboard and its body content is largely visual, so it did not render as extractable text. The headline signals: **Mag7 +1%**, **NVDA moved to NEUTRAL**, with commentary on **KOSPI**, **QQQ**, and the tension between **volatility-control funds and CTAs** — the latter echoing the Macro Show's warning about mechanical selling pressure if SPX closes below the **7,656 gamma flip line**.

SIGNAL STRENGTH STOCKS — 46 STOCKS (2 ADDED, 8 REMOVED)

Signal Strength Stocks | Sep 14, 11:17 EDT (Sep 14, 23:17 GMT+8)

The long list contracted sharply to **46 names**. **Added: CPAY, DELL**. **Removed: JPM, MRVL, NVDA, ABNB, RRGB, MNTN, FIVN, NEM**. The removal of **NVDA** and **MRVL** on the same day is the notable tell — semiconductor signal strength is breaking down in line with the KOSPI and DRAM calls.

CAPITAL ALLOCATION PRO — MODEL PORTFOLIO CHANGES

Andrew Nanai & David Salem | Capital Allocation Pro | Sep 14, 12:56 EDT (Sep 15, 00:56 GMT+8)

Model Portfolio changes took effect using **closing prices on Monday, September 14, 2026**. The team's most recent **Key Callouts video** was recorded **10 September 2026**, and the **September 2026 Monthly Commentary** was posted **September 2**. **Trend and Tail levels for all 68 ETFs** were refreshed using **closing prices on Friday, August 28**. The team also noted a **ticker substitution** for commodity tracking within the Dashboard, and published a **UCITS-equivalent mapping** of all current ETF holdings for European investors.

CRYPTO QUANT — BTC (+0.9%), XRP=BULLISH

Christian Drake, Josh Steiner & Matthew Cooper | Bitcoin Trend Tracker | Sep 14, 07:18 EDT (Sep 14, 19:18 GMT+8)

BTC +0.9% overnight and **XRP flipped to BULLISH**. **US spot ETF flows were -\$321M week-over-week**, a notable outflow against a rising price. The note flags the **Lummis CLARITY Act** as a rising legislative catalyst for the digital-asset complex. Detailed flow and on-chain data are chart-based.

YESTERDAY'S PUBLICATIONS

Friday, September 11 (EDT) — the prior publishing day

EARLY LOOK — FRONT-RUNNING THE FED'S INFLATION PROBLEM

Ryan Ricci | Early Look | Sep 11, 08:04 EDT

What: The flagship macro note laying out Hedgeye's inflation nowcast and the positioning it dictates, opening with a personal reflection on the **25th anniversary of 9/11**.

Why: New Fed Chair **Kevin Warsh** has committed to giving no forward guidance and listening to markets — while being explicit that inflation governs. Ricci's argument is that the market has **no model for inflation** and is reacting to prints after the fact, whereas Hedgeye's weekly nowcast projects a month ahead. That asymmetry is the alpha.

Who: Kevin Warsh (Fed Chair), Ryan Ricci, Howard Marks (quoted on pendulums), Keith McCullough.

Key numbers: Hedgeye's **August CPI nowcast at 3.5%** versus the street's **~3.36-3.43%**; prior month **3.36%**. Hedgeye sees a further **~10bps acceleration into September** where the street has inflation flat, and **sticky-high, essentially flat inflation into Q4/December** where the street has no forecast. The **2yr yield** — "the Fed front-runner" — is making **cycle highs within a Bullish TRADE and TREND**. Friday's Risk Ranges: **UST10Y 4.75-4.98% (bullish)**, **SPX 7565-7730 (bullish)**, **WTI 88.51-102.99 (bullish)**, **Gold 4275-4503 (bullish)**, **Silver 61-66 (bearish)**, **RUT 2875-2970 (bearish)**.

Takeaway: Front-run Fed policy by pricing a **higher probability of rate hikes into year-end**. What has worked: **commodities (oil and ags), energy stocks, short bonds, select international (COLO)**. What has not: **Russell, growth, momentum, industrials, retail, China tech, bonds, utilities**. Ricci is explicit that this is a **pendulum** — the market over-prices hikes, then over-prices cuts — and Hedgeye will flip when the signals do.

KM'S TOP 3 THINGS (RATES / GOLD / VIX)

Keith McCullough | From The Desk | Sep 11, 07:25 EDT

What: McCullough's three-point pre-CPI desk note.

Why: Bond yields had been signalling the Bullish TRADE and TREND breakout well ahead of the crowd — "every Macro Tourist on the planet is now 'worried' about inflation and Bond Yields."

Who: Keith McCullough; implicit foil in Treasury Secretary Bessent ("as opposed to Bessy's dreams, The Bond Market is the real 'house'").

Key numbers: **UST 10yr top-of-range at 4.98%** — the 2023 stopping point; a close above opens **5.29%**, the 2007 level McCullough associates with his 2008 crash call. Core rate-sensitive shorts — **TLT, ZROZ, LQD, JOJO, XLU** — were **covered down to minimum size** on short-term overbought yields. **Gold needs to recapture \$4,380** to be sized up from minimum; **Silver (SLV) was exited on time** while **Gold Miners (GDX)** were retained on stronger signal strength. On **VIX**: after a fourth straight down day, tourists panic-bought SPY puts, driving short-dated call vol **from 10 to 20** and **SPX implied vol to a +58% premium** versus 30-day realised. **SPX immediate-term TRADE resistance 7,670; IWM remains Bearish TRADE and TREND.**

Takeaway: Take profits on rate-sensitive shorts into overbought yields, stay minimum-sized in gold until \$4,380 is reclaimed, and treat 7,670 on the S&P as the level that matters.

THE MACRO SHOW — SUMMARY NOTES, FRIDAY SEPTEMBER 11

R. Patrick Kent & John McNamara | The Macro Show | Sep 11, 10:10 EDT

What: A PM-led session on rates, energy, credit and portfolio construction.

Why: To reconcile an elevated CPI print with tactically overbought yields and to flag deterioration beneath the index level.

Who: R. Patrick Kent (RPK), John McNamara, with Keith McCullough's positioning referenced throughout.

Key numbers: **UST 10yr top-of-range 4.98%**, the 2023 ceiling. **High-yield spreads widened to ~266bps** with corporate yields up **~12bps** the prior day — Keith had moved **high yield to neutral** and it may have turned **bearish**. **CCC-rated debt yielding ~15%** was cited as evidence of stress lower down the credit stack. **Gold at minimum, needing 4,380; Silver exited; GDX retained.**

Takeaway: **Bullish** bond yields, Brent, WTI, natural gas and Gold Miners; **bearish** the Russell 2000 and the US Dollar. Two structural warnings stand out: the historically tight link between **small caps and high yield** means a widening credit backdrop is an amplifier for IWM weakness; and **energy-adjusted liquidity** is deteriorating the way it did in **2022**, which challenges the assumption that the **60/40 portfolio's** stock-bond negative correlation will hold.

SIGNAL STRENGTH STOCKS — 52 STOCKS (3 ADDED, 12 REMOVED)

Signal Strength Stocks | Sep 11, 15:03 EDT

What: Friday's signal-strength refresh.

Key numbers: **52 names**, with **3 added (META, MRVL, AAPL)** and **12 removed (DGX, SXT, GTBIF, TGT, SN, FRPT, FCX, TSCO, GO, CAH, FSK, SNDL)**.

Takeaway: A 12-for-3 removal ratio confirms the broad-based deterioration McCullough quantified on Monday — and note that **MRVL was added Friday and removed Monday**, a one-session round trip that illustrates how fast semiconductor signals are decaying.

MOMO TRACKER — MAG7 (-0.2%), TSLA=BEARISH

Momentum Stock Tracker | Sep 11, 08:30 EDT

What: Friday's momentum dashboard.

Key numbers: Mag7 -0.2%, TSLA flipped BEARISH, SKEW steepening, fragility rising, and 6 of 9 Risk Ranges showing upside greater than downside.

Takeaway: Steepening skew alongside rising fragility was the early warning that preceded Monday's SPY and QQQ Bearish TRADE signals.

MACRO WEEK SUMMARY NOTES

From The Desk | Sep 11, 16:29 EDT

What: The weekly wrap covering the Macro Dashboard, Weekly Macro Commentary, VIX Gauge, **US Monthly Quad Forecast**, Chart of the Week and Market Insights. **Note:** full content sits behind a linked document, so this entry is summarised from the published table of contents only.